Examples of IO appeasement are widespread. The IMF has tailored loan packages for populist leaders, often imposing fewer conditions than on nonpopulist counterparts, as we show in chapter 5. The EU, meanwhile, has tempered its policies to address Viktor Orbán's resistance to liberalization. In other cases, IOs have adjusted their mandates to gain buy-in from skeptical states—examples include the International Energy Agency's inclusion of environmental priorities and the OECD's pivot from addressing tax havens to fostering tax cooperation (Bonucci et al. 2022).

However, despite its appeal, appeasement is not always a viable strategy. Populists with deeply entrenched ideological opposition to multilateralism may reject even generous concessions. Simultaneously appeasing multiple oppositional states can overwhelm an IO's resources and spark discontent among other members, as seen in EU budget negotiations where too many leaders demanded too much (Sadeh, Raskin, and Rubinson 2022). Institutional rules might also constrain IOs' flexibility to appease, and populist leaders constrained by their domestic audiences may find it politically costly to cooperate with an IO, regardless of incentives.

Even when appeasement works, there's no guarantee that populists will play fair. They may accept the concessions only to continue their hostile actions, leaving IOs worse off. In these cases, providing incremental benefits over time can act as a safeguard, ensuring that populists have something to lose if they escalate tensions. Coupling benefits with clear conditions mitigates the risk of future defection.

Granting concessions to populists can also raise serious ethical and reputational questions, with critics accusing IOs of compromising their principles to buy off adversaries. When benefits appear to reward bad behavior, IOs may face accusations of corruption, unfairness, or cowardice. For example, overlooking human rights abuses to placate populists could undermine an IO's credibility as a human-rights authority.

Appeasement may also embolden populist leaders, who can tout concessions as political victories, further solidifying their power domestically. This dynamic risks alienating nonpopulist members and undermining the IO's legitimacy among broader audiences (Hurd 1999; Tallberg and Zürn 2019). It may also encourage pushback by other countries that are skeptical of institutional rules and norms.